

Socially Responsible Investing

by Sophia



WHAT'S COVERED

In this lesson, you will learn about investor influence on CSR by evaluating companies according to their environmental impact, social action, and internal governance. Specifically, this lesson will cover:

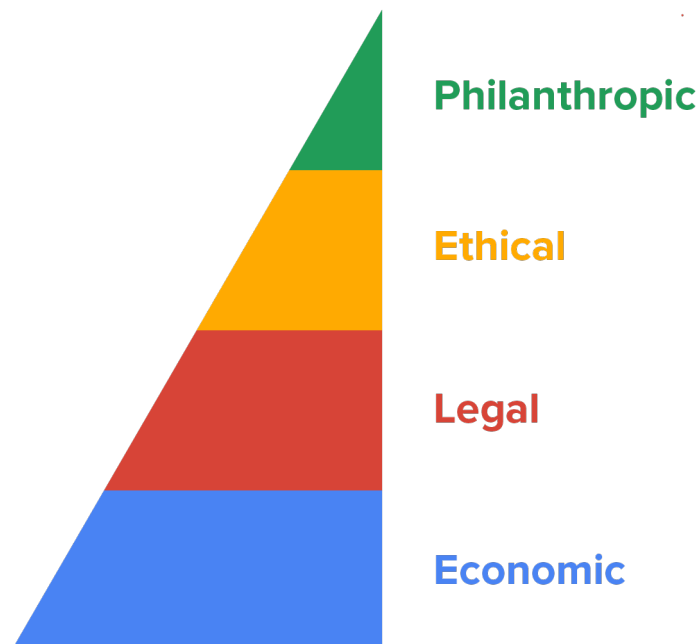
1. The Pyramid of Social Responsibility



BEFORE YOU START

Recall the “triple bottom line” of profits, planet, and people. The terms environment, social, and governance (ESG) describe the same concept but from an investor perspective. While “the triple bottom line” might be seen as simply “doing the right thing,” the use of ESG in rating companies for investment makes ethical behavior as important as profits to keeping shareholders happy.

The pyramid of social responsibility emphasizes the levels of a company’s business and CSR efforts in terms of priority.



The pyramid of social responsibility is a reminder that CSR efforts are built on a foundation of responsible management and profitability.

Legal compliance is essential not just for ethical reasons, but to avoid ruinous fines and lawsuits. CSR efforts that affect reputation and ESG ratings are the top of the pyramid, both higher ethical obligations like DEI efforts in corporate governance and philanthropic efforts like donating money to charitable organizations.

- The foundation of a business's success is economic. As much as businesses want to help people and the planet, it is undeniable that without profits, the business will not last, and if it doesn't last, the other goals will not be achieved.
- The next level of responsibility is legality, the compliance or ethical minimum in terms of transparency, honest accounting, and observing laws pertaining to health, human safety, and the environment, in both the workplace and the product line. The idea of corporate social responsibility is so widespread today that it is hard to conceive of a company continually acting in illegal and irresponsible ways. Nevertheless, such actions do sometimes occur, which can create financial ruin for organizations, extreme financial hardships for many former employees, and general struggles for the communities in which they operate. The vast majority of business activities fall into the category of behavior that is both legal and responsible. Most companies act legally, and most try to be socially responsible.
- Most CSR efforts are thus focused on the third and fourth levels, going above and beyond the ethical minimums, and "paying it forward" in philanthropy, such as sponsoring scholarships or donating a percentage of profits to charitable organizations. Research shows that consumers, especially those under 30, are likely to buy brands that have excellent ethical track records and community involvement, but companies need a strong economic base and thorough compliance first.



REFLECT

Have you tried to help others when you couldn't really afford it? You might have contributed to a friend's "Go Fund Me" or a young relative's school fundraiser and later realized you were short for basic expenses. Similarly, a business must first be solvent to go beyond the ethical minimum. For both businesses and individuals, giving back or paying it forward might require a look at the budget and what excesses can be trimmed to make it possible.

2. Socially Responsible Investing

We consume every day, from electricity, water, and air to money, products, and services; our act of consumption is a key element in our survival. If we didn't consume water, for example, we would not continue to survive. Still, we may not give much thought to what we consume, where it comes from, or where it goes once it leaves us. Being a socially responsible person requires thinking about where the water we drink comes from, how it is protected, or polluted, and where it goes once it leaves us.

Contaminants do not magically disappear when we pour water down a drain any more than the garbage we toss in the can magically composts, breaks down, or dissolves. It is still in the garbage bin, and if it is a plastic that can't be recycled, it may go from the can to a truck to a landfill, and still be there for many years to come. Perchlorate is the explosive main ingredient of rocket and/or missile fuel and is a consequence of industrial production. It too does not "go away" easily. It contaminates drinking water supplies, groundwater, or soil in hundreds of communities. Lead and mercury, both heavy metals, can also contaminate our drinking water,

leading to a wide range of damaging effects on our central nervous systems, learning and memory, and overall health. All three elements can disproportionately impact low-income communities who need work and cannot stand up to corporations.

As a consumer, even with limited resources, we can make strategic choices. We can choose to dispose of batteries or light bulbs responsibly so that the heavy metals they contain do not leach into the groundwater. It is far more difficult to tell a corporation what choices to make, why it is important to consider sustainability, or how to handle their hazardous waste. Still, one key value of all corporations is profit, and that requires investment, so the corporation naturally wants to attract investors, or at least keep and maintain current investors.

Socially responsible investing has been around for a very long time. At an individual level, it's been around since the formation of early marketplaces. We make choices about goods and services not just because of how they serve us; we also consider who is the seller, who made the item, what is made of, and so much more. Early marketplaces were central to communities. People knew each other, and people talked. Early Methodists chose to not support slavery or products associated with those who used slave labor.

In modern times, Cesar Chavez led the farmworkers movement, and the successful grape boycott campaign produced positive, systemic changes in working conditions and compensation. People chose to not buy grapes, and farms heard the message loud and clear. During the Vietnam War, university endowments were pressured to not invest in defense contractors. People today choose to not invest in companies that produce fossil fuels, guns, or many other products. People vote with their wallets.

Impact investing is also called **socially responsible investing (SRI)**. The emphasis of socially responsible investing is on the influence of investors, a way of turning shareholder primacy into an ethical advantage. Investors who choose to invest in socially responsible ways are placing value on factors other than pure economic profit. They recognize that a corporation that makes a socially responsible decision may, in fact, cost more money. It may require additional equipment to reduce pollution. It may require additional resources to pay a living wage to its workers. Costs may be associated with responsibilities to the community in which they produce, or even the country in which they reside. Choosing supplies that produce in sustainable and responsible ways may also carry a cost, and every cost associated with being socially responsible may, in fact, reduce profit or lower a dividend. Increasingly, however, corporations must consider socially responsible actions in order to attract investment. Impact investment leverages the investment power of an investor in the same way that impact buying leverages an individual consumer's purchasing decision. If enough buyers choose not to buy the product with the single-use plastic container, the company will have to look for an alternative in order to sell their product. If enough socially responsible investors make strategic choices that value impact, corporations will have to listen, respond, and change in order to attract investment.



TERM TO KNOW

Socially Responsible Investing (SRI)

The use of investor influence to spur companies to behave ethically.

3. Impact of ESG Ratings

In recent years, many publicly traded companies (as well as some that are privately owned) are being evaluated and rated according to environmental, social, and governance (ESG) factors. These ratings and evaluations are primarily conducted by third-party organizations, publications *Newsweek* and *Forbes*, and by investment advisors like MSCI. As a result, the investment community is using these reports and ratings to an

ever-increasing degree in order to measure and assess corporate ESG factors and performance.

To bring this evaluation process to life, let's consider automobile ratings. If a car has a very low mileage rating, a very low safety rating, and a very low reliability rating, it probably won't sell very well. Consumers will see the reviews and negative issues, skip it, and look for better alternatives even if the car is cheaper than alternatives.

In the same way, investors look to independent organizations to use information and testing, in the same way crash test dummies are used in car crash safety testing, to get verifiable results that can be trusted. If a company has a low rating on environmental, social, and/or governance (ESG) factors, it'll have a much harder time attracting investors.

Environmental, social, and governance issues have become an important part of the investment community's evaluation of publicly traded companies. Each component of what is now referred to as ESG has equal importance in ongoing corporate evaluations. It is critical for the senior management of any corporation to stay abreast of any and all ESG issues as they arise and take immediate corrective action when necessary.

ESG measurements and assessments have become very important to firms, as they often become the basis of formal and informal buy recommendations by investment professionals. ESG ratings were originally developed to assist in determining the general risk of ESG factors for any public company, but they have since grown to become unique scores used by investors to gauge the potential attractiveness of investment in the subject company. Because of the nature of these factors, firms that are rated with high ESG metrics are believed to represent superior investments and to have proactive management teams focused on creating long-term value of company stock.

Therefore, with investors increasingly using ESG scores to form their investment strategies, the consequences of a poor rating can have a negative impact on a firm's share price and result in substantial problems. In any case, it is important to note that ESG is only a starting point from which it is possible to gather indicators on a business and its direction. In the end, it does not present the entire story of a firm. Any investment decisions about the company in question should include additional data or investigation.

4. Problems With ESG Ratings

There is an old saying in research, good data in, good data out—meaning that if the data collection is done correctly the first time, we should be able to be confident in the results. Those results should be reliable, valid, repeatable, and verifiable. Conversely, bad data in means poor, unreliable, or inaccurate results. The saying for this is, “garbage in, garbage out.”

The challenge is to know whether we are working with good data or bad data, and the first place to look is at who collects that information. Are they an independent third party? Are they employed by the company being examined or audited? In accounting and finance, independent verification is standard operating procedure, but when it comes to environmental audits, sustainability audits, or governance audits, and the data is in the form a public relations press release or a report from the marketing department, you might suspect there is a bit of spin, bias, or overt, misleading exaggeration present.



ESG ratings are inconsistent and sometimes unclear, leaving investors confused about which ones to trust.

Buyer beware is a caution that sales and promotional materials should be suspect, should be evaluated, and cannot be taken as accurate truth at first glance. When a company claims four out of five doctors recommend it, we (as consumers) need to ask: Which four doctors? Are they on the payroll? Did they receive compensation for their vote? At a minimum, we need to ask ourselves who the claim serves, and where it comes from. Removing the element of self-interest from the auditing, research, or data-gathering process is fundamental to accurate information.



TRY IT

Using your favorite search engine, find three or four different ESG ratings. Compare their evaluations of the same company, or their top ten list. Do you see any differences? Do the ratings include a detailed explanation of how they arrived at their conclusions? Which ratings does the search engine promote over others, and why?

One central issue in environmental, social, and governance (ESG) pillars or criteria for responsible investing is there is no clear, established, universal, standardized measure of what those criteria mean. Does a reduction of 10% of pollution count as improvement? Ten percent of what total, in what industry, in what context or country? The lack of certified, standardized, or universal criteria for what makes an investment sustainable is a serious challenge, and what might be appropriate for a waste management company may not work well for a clothing or toy company. They will have areas of overlap, from energy use and its source of production to water use, sustainable suppliers, and compensation ratios of administration pay compared to worker pay, but it is all relative and hard to measure. No two businesses are exactly alike, and industries themselves are quite distinct. While the desire or wish to invest responsibly is admirable, in practice it is quite challenging.

This lack of consistency in criteria of what constitutes sustainability, for example, opens the door to valid critiques of the assessment process itself. Is it good data or bad data, and how can we tell the difference? It's not clear. And in the absence of reliable, valid, repeatable, and verifiable information, companies can greenwash, or make themselves appear more environmentally friendly than they are, or perhaps it might reflect how they aspire to be. Sometimes claims made about ESG are more wishful thinking or long-term goals than an accurate representation of their status now, today. Incremental progress is important, but hard to assess. Again, it is often not clear. Corporations and lawmakers can also push back and assert that inconsistent standards can be unreasonable and burdensome.

ESG criteria are a valuable tool to compare companies and corporations as a response to the investor-led movement to influence business practices in a way that positively promotes key criteria that can benefit people and the planet, but the inconsistencies and lack of universal criteria standards is a stumbling block—which gives rise to debate, self-promotion, and pushback from industry. Still, if investors perceive a need to vote with their money, and they want to vote for companies that are improving their decisions and actions on ESG criteria, it is a start to a worthy conversation.



SUMMARY

In this lesson, you learned about **the pyramid of social responsibility**, as a reminder that all CSR is reliant on a solid foundation of an economically profitable business and legal compliance. But the kind of CSR efforts that are relevant to **socially responsible investing** are ethics and philanthropy that exceed the ethical minimum. Ratings on environmental and social impact, and on governance (ESG) have become popular as a way for investors to compare companies, make investment decisions, and promote responsible decisions by investing or divesting, meaning that **ESG ratings have impact**. However, there are **problems with ESG ratings**. The criteria are not standardized, making ESG ratings

hard to assess, and comparisons between companies, corporations, and industries inconsistent and hard to assess. Still, the ESG movement among investors is increasing in both interest and actions, and is part of a larger discussion of what constitutes responsible, ethical production and growth.

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